



between deregulation and the prospects for faster and speedier economic growth?

Some of it is intuitive and empirical studies across the world are not there.

Particularly speaking, however, in the case of India, and we present that in Chapter 7 on the topic of industries, that those states which were very active in the Business Reform Action Plan (BRAP) initiative of the Union government, saw their industrial activity do much better than those states that lag behind in BRAP.

That is a very clear indicator that it works, to boost industrial activity in the states.



Would it be fair to say that while the Survey says India is on a steady track, it is the external environment that we perhaps need to respond to far more effectively for future growth?

No. We cannot really be controlling what happens in the external environment and to some extent, we take the external environment as given.

Yes, foreign policy, diplomacy, security policies, can shape it to some extent. But as far as macroeconomics is concerned, in the Survey, we have taken the external environment as given. And therefore, we make

the case that we need to double down on domestic growth drivers.



What is the impact of friendshoring, and global trade restrictions led by the United States, that a developing economy like India may have to face?

I do not want to comment on a specific country's action. That would be speculative.

In the Survey we have pointed out that in general, without referring to any country, it is a global phenomenon. Trade restrictions have increased in the past several years, much more than they used to in the years before that. And

the same thing goes for trade-related and investment-related restrictions, and it is global.

And therefore, we are saying that external growth and external investments both must be taken as something that is going to be in smaller magnitude than in the past, and therefore, there is a need to boost domestic savings, domestic income generation, as well as domestic production.

And one of the answers to that is deregulation, because that will boost the investment efficiency, and that will also lead to employment generation. In both ways, the deregulation aspect takes care of the external environment.